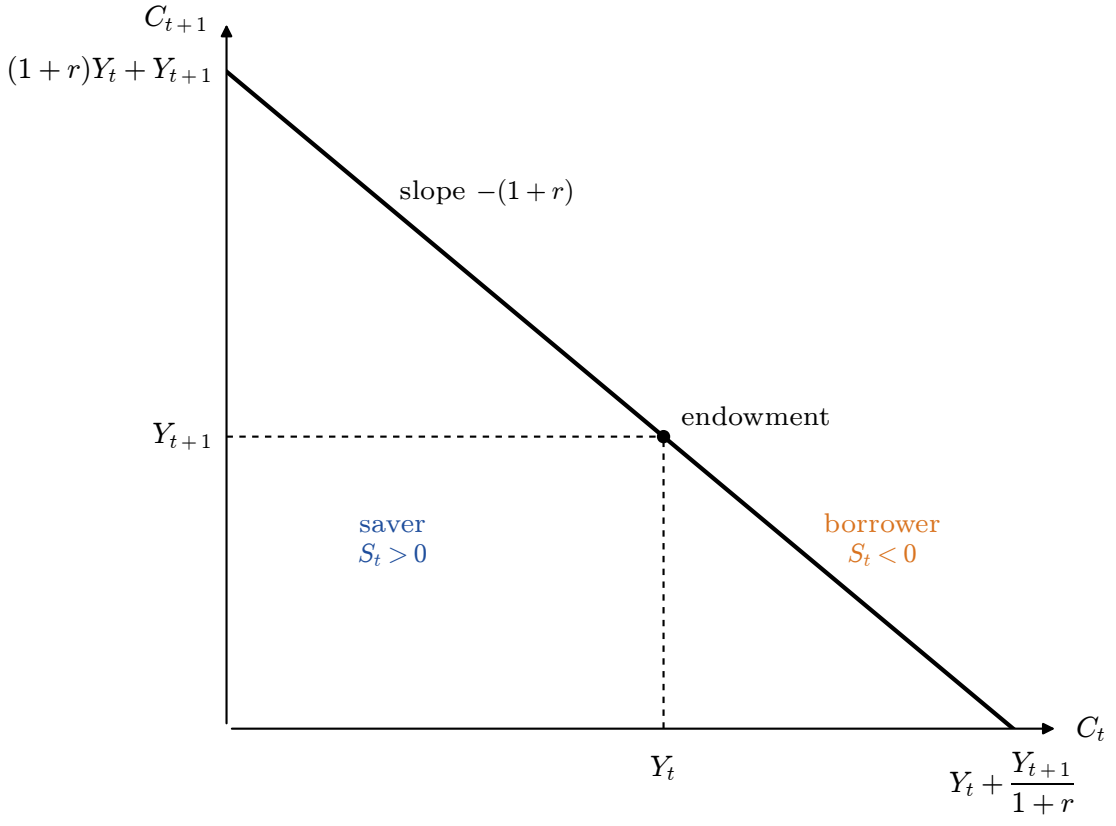

Fig. 1: The intertemporal budget constraint always passes through the endowment point.